Strategy Land

Richard Rumelt's Web Journal on Good and Bad Strategy in Business, Politics, and Economics

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On Goals and Strategy

Aribitrary goals don't help generate good strategies

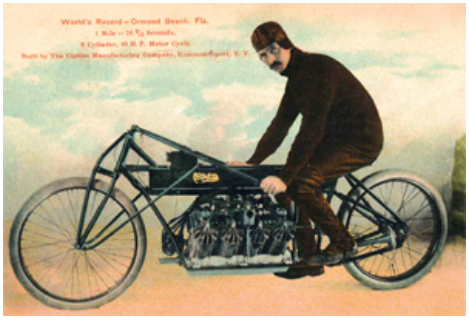
April 2, 2011 By Richard Rumelt

Curtiss-Wright-Logo

Misunderstanding the relationship between goals and strategy is the origin of wheel-spinning frustration in many strategic retreats and planning meetings. The executives want to develop strategy, but first mistakenly try to agree on the overall goals of the company. Agreement on broad universal goals is easy but uninformative. Searching for something concrete, senior executives finally impose some arbitrary metrics, like a 15% after-tax return on capital and a 12% annual rate of growth. The group now tries to identify "strategies" for achieving these goals.

What should have been a discussion of how and where to compete devolves into an exercise in hockey-stick financial forecasting. The problem the group has experienced is that ***a strategy is not a plan for reaching an arbitrary goal***. A strategy structures the situation, providing guidance as to how to best use the resources and insights available. Useful strategic objectives are not simply the echo of ambition; they reflect an understanding of the forces at work and seek a balance between what is desired and what is possible.

My doctoral research was on diversification and the ensuing book, *Strategy, Structure, and Economic Performance*, was, for a brief moment, a Fortune Book Club selection. This opened a number of doors into senior management groups of diversified companies. Thus, in 1975, while on the faculty of Harvard Business School, I was asked to work with a small top management team at Curtiss-Wright. The CEO, Ted Berner, had guided the company since 1960 and he wanted an outsider with expertise in diversification to help shape the corporate strategy.


Glenn Curtiss "The Fastest Man Alive" in 1907

Headquartered in Woodridge, NJ, Curtiss-Wright was the legacy of aviation pioneers Glenn H. Curtiss and the Wright brothers. Glenn Curtis was a motor designer, motorcycle racer, and test pilot. Curtiss rose to national fame in 1907 when his V-8 powered motorcycle achieved a speed of 136 mph. He was the first man to fly an airplane on a take off from a naval ship (1910). During World War I, Curtiss supplied thousands of easy-to-fly "Jennys" and N-9 seaplanes to the military. Wright Aeronautical was an engine manufacturer. On its non-stop flight from New York to Paris, Lindbergh's *Spirit of Saint Louis* was powered by a Wright Whirlwind engine. Two years later, in 1929, Curtiss-Wright was formed as a merger of the Wright and Curtiss interests.

Curtiss-Wright became a major manufacturer of aircraft engines and propellers during World War II and in the 1950s. The rise of jet engines in the 1960s almost eliminated that business and Curtiss-

Wright diversified into other aircraft components, nuclear control equipment, and components for the automobile and construction equipment industries.

Ted Berner began the strategy meetings by asking the group to clarify the company's goals. I recall his injunction that "We should first agree on what we are trying to accomplish. Once that is clear, we can dig into how to get there."

The morning's two-hour discussion of goals was painful. No one could argue with a broad goal like "grow," or "diversify," but this kind of aspiration had no bite—you couldn't deduce much from it. Economists will tell you that the goal of the corporation is to maximize profit, or value, but this statement is equally empty of actionable implications. Yet, if someone was more specific, arguing that the company should seek to be the leader in advanced rotary engines, we quickly realized that such a "goal" was actually an extremely powerful decision about where to allocate resources.

The rest of the day was committed to a review of the company's businesses. As we broke, Berner told me that we would revisit the topic of goals the next morning. He asked me to lead off with a quick summary of what constituted a "good strategic goal."

I did not sleep that night. I had come prepared to discuss the pros-and-cons of various approaches to diversification, not the problem of goals. The question "what should a business strive to accomplish?" is, logically no different than the question "what should a person strive to do in life?" And, this question has bedeviled philosophers for twenty-five hundred years. Should people seek faith, honor, truth, justice, power, wealth, balance, or simply happiness? Or, are we free to define our own goals and values, as existentialists hold? And, what does any of that have to do with what one does tomorrow?

The brief presentation I developed that night has stood the test of time. More than thirty years later I continue to find it helpful in setting the stage for fruitful strategy work.

> When we do strategy work it is natural to remind ourselves of our broad goals. But it is also important to remind ourselves that broad goals can never tell us what to do. For example, broad goals like liberty and security are shared by almost all Americans, but they do not tell us whether or not Social Security should be a backed by real savings or simply be a pay-as-you-go commitment. And, they do not tell us exactly how much security we are willing to give up to gain an increment of liberty, or vice versa.
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> Broad goals are best seen as constraints on strategy. Like laws, or like the rules of a game, they constrain our actions without specifying them. Broad goals rule out certain things, and encourage us in certain directions, but cannot tell us what to do.
>
> Specific goals, like grow the GNP by 3 percent next year, or earn more than 15 percent on capital, may seem more "practical" in that they are concrete. But such performance goals still do not tell us what to do and they can actually damage further strategy work. Real strategy work looks beneath the surface of performance measures and attempts to discern underlying causes—the trends, opportunities, and threats that will shape performance in years to come.
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> After we have reminded ourselves of our broad goals and values, real strategy work begins by examining changes. Strategy may in the service of our desires, but its practical shape is always determined by our insights into how to cope with change—

with our diminishing effectiveness in some activities, with the opening of new avenues of activity, and with new modes of operating and of competing.

Importantly, the skillful strategist is not bound by arbitrary goals. The strategist chooses which broad goals can be advanced and which cannot in each situation.

Once we have a firm grasp on a way forward—a strategy—it is necessary to go beyond general guidance and establish explicit targets to measure and control our forward progress. If, for example, we have a strategy of being the most reliable supplier of engine components to truck and construction equipment manufacturers, it behooves us to define "reliability" in this sphere and create systems to both improve it. Such targets are best named "objectives" rather than goals. Goals guide and constrain strategy work whereas objectives are part of its product.

A Note on Curtiss-Wright

At the time of the strategy retreat, Curtiss-Wright was deeply involved in bringing the rotary Wankel engine to market. However, the Wankel's promise was never realized. Production costs remained high and the rapid run-up in gasoline prices sealed its fate. With this setback, CEO Ted Berner turned his attention to a series of complex take-over battles. While highly-diversified Teledyne was acquiring a major stake in Curtiss-Wright, Berner sought to gain control of Kennecott Corporation (copper). Ted Berner died in 1990.

Today, Curtiss-Wright is a medium-sized diversified provider of flow and motion control products for the aerospace, nuclear, and oil/gas industries, and of metal treatment services for aerospace, automotive, and industrial markets. Click on the logo to visit its Web site.

Tagged strategic planning, strategy | 6 Comments

6 Responses to *On Goals and Strategy*

Ali Bhartivari [April 4, 2011 at 4:29 am]
I have struggled with the connections between goals and plans (or strategy) my whole career. I am very taken by your point that "The strategist chooses which broad goals can be advanced and which cannot in each situation." The idea of choosing which goals are operational is very powerful. Thanks.

Reply

Estelle Byrne [April 5, 2011 at 6:24 pm]
It is said that if you don't know where you are going, then any road will do. I think it is important to have a clear idea of your goals.

Reply

Ralph Mortenson [April 6, 2011 at 6:32 pm]
I tend to agree with Estelle Byrne. Deciding on your goals is a critical part of strategizing.

Reply

Richard Rumelt [April 10, 2011 at 5:22 am]
It is romantic to think that we first decide where we are going and then figure out how to get there. This can work for road trips. But in the competitive complexity and ambiguity of the real world, the challenge is figuring out which pathways might lead anywhere at all. I am recommending a thorough examination of the challenges to forward progress in any direction and the consideration of what might and can be done. Out of that balancing come objectives which make sense and which can help focus an organization's energy.

Reply

Matthew Leitch [June 29, 2011 at 9:16 am]
Good points Richard. The idea that we should identify clear goals and only then think about how to achieve them is totally impractical in most situations. What we try to do must reflect what is feasible. The development of ways to achieve results should be done at the same time as the development of objectives. People with ideas for what could be done that would produce results need to be involved in making strategies.

For many in small businesses that have yet to find real success the challenge is not to set goals but simply to find any business formula that really works at all. For them it matters little how clear their objectives are because, without the ability to control results in a positive direction, there's not much they can do except keep searching, as efficiently as they can, for things that work.

Reply

Greg Armstrong [November 16, 2011 at 7:14 pm]

The points you make are immediately relevant not just to business, but also to the work aid agencies, and their partners, whether they are NGOs or national governments, try to do in clarifying their long term, mid term and short term results, using results-based management.

In theory, agencies such as USAID, CIDA, DFID or the UN organizations use logic models, to test the relationships between development problems, changes or results intended to alleviate the problem, how to get there, and how to measure progress. But in practice, as I have found in working with them, they often do not test, or even agree upon assumptions in three important areas:

a) Assumptions about the original problem, and its causes;
b) Assumptions about change processes, or what reason they have to think that a given action is likely to lead to a change; and
c) Assumptions about the situation, about what other actors will need to do, to increase the likelihood that an action will actually produce a change.

Testing what assumptions partners have about these issues is important in developing a workable, realistic development project or programme – what I think you have described as strategic objectives that will "reflect an understanding of the forces at work and seek a balance between what is desired and what is possible".

Reply

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